Macro Outlook

Long the cycle, short the complacency

SIGNATURE

The Q3 outlook hinges on a strong, broadening US earnings cycle offset by already-optimistic market pricing. While global growth – led by US profits, AI-driven capex, and a firm jobs market – remains intact, higher bond yields and richer valuations leave less room for error.

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- The US profit cycle remains the dominant force in global macro. Earnings are broadening beyond mega-cap tech, supporting hiring, capex and consumption. But markets are already pricing in much of the upside, leaving little room for error.
- Central banks such as the ECB and BoJ will likely tighten policy at the margin, but we expect the Fed to stay on hold for the rest of the year. Bonds remain the most challenged asset class, as fiscal and inflation profiles are worsening globally. For yet another quarter, we prefer equities over fixed income from an asset allocation standpoint.
- The semiconductor complex now represents a concentrated macro risk if sentiment turns. But order books are full well into 2027, vendor-financing concerns are exaggerated, and forward multiples reasonable. There may come a point at which the AI infrastructure build-out overshoots demand, à la 2000. But that reckoning, even if it comes, is likely a 2028 problem, not a 2026 concern.
- Macro conditions are supportive but not overheating: the US labor market is firming without wage-driven inflation, and consumption shouldn't collapse despite a low savings rate. Europe and China are weaker, but neither is collapsing. Our economists forecast the global economy to grow 3.1% in 2026. The global expansion should persist.

The market outlook for the third quarter rests on a tension: a (mainly US) profit cycle that continues to deliver against a market that has absorbed much of the good news. How that tension is resolved will determine financial markets in the coming months. We think the weight of evidence suggests the global expansion is still intact.

Exhibit A is corporate earnings, the single most important variable in markets today. An economy where profits are expanding 22% y/y (consensus for FY26), such as the US, does not roll over quietly. It pulls the labor market forward, sustains capex, and underwrites consumer spending even when other indicators flash caution. The question is not whether earnings are strong – they plainly are – but whether their breadth and durability can withstand headwinds: a

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low US savings rate, central banks that are no longer easing, and a bond market demanding higher yields from sovereigns and corporates alike.

Earnings: No longer a tech story

S&P 500 earnings growth was 19% y/y in the second quarter. That alone would be noteworthy. But the composition is as significant. The mega-cap tech names delivered 30% growth – impressive, but by now largely expected. The surprise was the rest of the technology sector, where EPS surged 50% y/y, a pace that suggests the monetization of AI is now well past the handful of names that have dominated for years. If consensus estimates of 22% EPS growth for 2026 are realized, it would, almost by definition, imply a robust economy.

Margins are expanding in materials, helped by the AI infrastructure build-out. Financials are benefiting from a rising equity market and robust deal activity. After a prolonged stretch of post-pandemic margin compression, healthcare is beginning to see operating leverage return. When the earnings cycle broadens thus, it becomes self-reinforcing: sector-level profit growth drives sector-level hiring, which supports households, which in turn sustains the demand that feeds next quarter's revenue.

The risk is that the world is already priced for it. At current index levels, markets are already expecting healthy, double-digit EPS growth in 2027. If margins compress – whether from higher input costs, rising borrowing costs, or a deceleration in AI spending – investors will start to get nervous. We do not think that is likely in Q3, or for the rest of 2026. Order books in key sectors (especially the all-important semiconductor vertical) remain full, corporate guidance has been broadly constructive, and capex commitments are contractual, rather than discretionary. But the market rally since March *does* mean we are more measured in our risk-friendly stance than three months ago.

The US labor market: Firming, not overheating

If earnings are the engine of this cycle, the US labor market is the transmission mechanism – and it seems to be working. May payrolls surprised to the upside for the third straight month. The three-month moving average of nonfarm payrolls is now up nearly 200k from the three months ending in February. Job gains are more broad-based across sectors, including government, leisure and healthcare. After rising ominously in H2 25, the under-employment rate has dropped this year. Continuing claims have trended lower, and initial jobless claims remain subdued. Taken together, the signal is unambiguous: the labor market has bottomed.

The natural worry is that a tightening labor market feeds back into inflation through wages. It is a concern we believe is premature. Neither the Atlanta Fed's Wage Growth Tracker nor the Employment Cost Index is flashing the kind of acceleration that would force the Fed's hand. The unemployment rate has largely hovered around 4.3-4.4% for almost a year, instead of dropping quickly. This is a labor market that has stabilized, but not one that is running away from the central bank. At least for now. There is a tendency in macro analysis to treat any improvement in employment as the opening act of an overheating story. We think that framing skips several chapters. For wages to become a problem, you need sustained tightness: a sub-4% jobless rate, rising quits, employers bidding aggressively for workers.

We are nowhere near that. What we have instead is an economy generating jobs at a decent pace, but with enough slack to keep unit labor costs from spiraling. That is a favorable configuration, not a threatening one. For investors, the implication is straightforward. A firming labor market extends the earnings cycle: profits fund payrolls, payrolls fund spending, spending funds revenues. The virtuous loop remains intact. The risk would be if hiring surged to a point where wage costs eroded margins, but the data offer no evidence that this threshold is close.

The labor market is doing exactly what one would want it to do in the middle innings of an expansion: growing steadily without generating the kind of heat that forces a policy response.

The consumer: Weaker than the data suggest, or stronger than the bears admit?

A firming labor market ought to translate into resilient household spending. But the headline savings data in the US tell a more cautious story. At 2.6%, the household saving rate leaves almost no buffer between the US consumer and a pullback in spending. The logic is simple: if households are saving almost nothing, any shock – a job loss, an energy spike, a wobble in confidence – forces an immediate retrenchment. Real disposable income growth reinforces the concern. On a per capita basis, it fell 0.5% in April alone, and on a year-over-year basis, it is declining at roughly 1.5%, the weakest reading since 2022. On its face, this looks like a stretched consumer.

We do think consumption will soften a little in H2, but are skeptical of any doom-and-gloom narrative. Not because the numbers are wrong, but because we have seen this story before. Twice in recent years, the Bureau of Economic Analysis has conducted annual revisions to the national accounts that substantially raised the saving rate *after* the fact. The most striking instance came in September 2024, when the BEA revised the saving rate from 3.3% to 5.2% through the second quarter, an upgrade of nearly two full percentage points. The source was a sharp upward revision to gross domestic income, which had significantly understated how much Americans were actually earning. In both episodes, the prevailing narrative was that the consumer was dangerously overstretched. In both cases, the revised data told us the opposite. We would not be surprised if a similar recalibration is ahead.

The weakness in real income growth deserves acknowledgment; it is the one element of the bear case that carries genuine weight. But it needs to be weighed against the forces running in the other direction. Fiscal transfers remain substantial. The federal deficit is still running at 5.5-6% of GDP, a level of government dissaving that puts significant income into household pockets. Financial wealth effects are large and growing: the S&P 500 is near record highs, housing wealth remains elevated, and IPO activity should create a fresh cohort of liquid wealth. And the AI capex cycle, now on track to reach a trillion dollars by 2027, is generating employment, income and demand beyond the technology sector itself.

Calling for a sharp consumer-led slowdown requires one to believe that soft real income growth will overwhelm the combination of fiscal support, buoyant asset prices, and the strongest corporate earnings cycle in years. That is a view we don't buy. The saving rate is likely overstating the fragility of household balance sheets, just as it has before. The offsetting forces are simply too large to support a conviction call for a strong pullback in consumption. The bears have a data point. They do not have a story that holds together.

AI capital expenditure: The debate is over, the build-out is not

A year ago, the skeptics' case against the AI capex cycle had a certain logic to it. The technology was impressive, but the revenue models were unclear and enterprise adoption was nascent. There was a credible argument that the hyperscalers were overbuilding into an unproven demand curve. That argument has been overtaken by the numbers. Annualized AI-related revenues across the major cloud platforms have roughly tripled over the past year. Enterprise deployment has moved from pilot programs to production workloads. And the commitment pipeline has accelerated: aggregate AI infrastructure spending is on course to reach $1trn in 2027.

When the companies writing the checks are simultaneously reporting explosive earnings growth from the same technology, the use-case question answers itself. Even away from the hyperscalers, the revenue growth of major AI "labs," such as Anthropic and OpenAI, is impressive. Anthropic for example is on track to become the fastest firm on record to reach $40bn-plus in annual recurring revenue (ARR) this year, barely four years from founding. The debate about whether AI monetization is real is functionally settled. What remains is a question of magnitude, not direction.

The broader economy benefits from the second-order footprint of this spending. A trillion-dollar build-out does not stay inside data centers. It flows into power generation, electrical infrastructure, construction, cooling systems, and the labor required to install and maintain all of it. It reshapes capital allocation in materials and industrials, creating procurement bottlenecks that themselves generate pricing power for suppliers (and sometimes these prices can truly spiral, like memory chips). Semiconductor fabrication capacity, already stretched, is being expanded on multi-year timelines that lock in demand for years. This is not speculative expenditure that will be switched off in a downturn; much of it is contractual and under construction. For as long as this cycle runs, it acts as a structural tailwind to earnings, employment, and GDP growth that sits mostly outside the traditional business cycle. Investors may be tired of hearing about capex. The economy is not tired of receiving it.

Semiconductors: The macro risk hiding in a micro sector

It is tempting to treat the semiconductor cycle as a sector-level concern, something for technology analysts to parse and for macro investors to observe from a distance. That would be a mistake. Of the 15-16 companies globally that exceed a trillion dollars in market capitalization (at the time of writing), barely a handful – Berkshire Hathaway, Aramco, Eli Lilly – are *not* related to technology hardware or the infrastructure that supports it. Nvidia is the world's most valuable company at around $5trn. TSMC, Samsung, and SK hynix between them account for trillions more. The semiconductor complex is not a subsector of the equity market, it is now its heartbeat, and its gravitational influence extends well beyond share prices. Its influence is also extending into the credit markets. The hyperscalers will likely issue more than $400bn in new debt this year alone, more than twice the amount they raised in 2025, making the semiconductor supply chain a first-order focus for credit markets. After all, when the semiconductor cycle turns, it does not turn gently. It snaps. And when it snaps, it takes the macro with it. That is what happened in 2000. And it is the reason macro investors should pay close attention to semis.

The comparison with the dot-com bust is the one that surfaces most often. In 2000, the telecom equipment sector, led by Nortel and Lucent, sat at the center of the technology complex in much the same way that semiconductor companies do today. Both were critical enablers of a transformative infrastructure build-out. Both attracted enormous capital flows on the promise that demand was structural and durable. Both had share prices reach levels that implied years of flawless execution. And when the cycle broke, the damage was catastrophic. Nortel's shares fell from almost $87 to 18 cents. Lucent went from a $60bn company to a forced merger with Alcatel. The collapse did not stay contained within telecom, it dragged markets down and then the economy. The semiconductor index itself famously fell 82% from peak and took decades to recover.

But the 2000 template, while instructive, breaks down on closer inspection. Nortel and Lucent were not just selling equipment into a boom; they were financing the boom themselves. Nortel extended over $7bn in vendor financing to startup telecom carriers, many of which had little or no revenue and no viable path to profitability. Lucent aggressively lent money to its own customers and then recorded those loans as sales revenue, temporarily inflating reported earnings while accumulating enormous credit risk. When the startups defaulted, demand did not slow, it vanished overnight.

The semiconductor cycle today is fundamentally different in this respect. Nvidia's four largest customers, Microsoft, Alphabet, Amazon, and Meta, generated several hundred billion dollars in free cash flow last year. These are not leveraged startups buying chips on credit; they are the most cash-generative enterprises in the history of capitalism, funding purchases out of earnings and issuing debt from balance sheets that any sovereign would envy. That distinction matters enormously for the durability of the current semiconductor order book. In 2000, demand was a function of financing availability. Today, it is a function of competitive necessity. No hyperscaler can afford to fall behind, and the capital commitments reflect that – and so do semiconductor earnings.

SK Hynix reported a 72% operating margin in the first quarter of this year, surpassing Nvidia's peak. Samsung's first-quarter operating profit exceeded its entire full-year earnings for 2025. Forward price-to-earnings ratios for Samsung and SK Hynix sit at 6-7x. Even for a famously boom-bust sector, these are not worrying multiples. They are the multiples of a cycle being priced with a significant discount because investors expect the earnings bubble to pop. We think those concerns are overdone. There is a legitimate nuance to the vendor financing concern that we would not dismiss entirely. Nvidia has invested in a number of smaller AI infrastructure companies, CoreWeave being the most prominent, that then purchase Nvidia's own chips, creating what critics describe as a circular revenue loop. But context matters. Nvidia's investment in CoreWeave is approximately $300mn, against the roughly $25bn CoreWeave has raised in total. More to the point, the overwhelming majority of Nvidia's revenue comes not from leveraged startups but from the hyperscalers, whose capacity to pay is not in question. The vendor financing issue is real at the margin, and it warrants monitoring. But it is not a systemic vulnerability.

Our view is that the semiconductor cycle remains firmly intact through 2026 and into the first half of 2027. Order books are full; capacity is being expanded on multi-year, contractual timelines; and the customers writing the checks have the cash flows to honor them. The earnings trajectory at every level of the supply chain, from equipment makers to memory producers to GPU designers, is accelerating, not decelerating. There may come a point at which the AI infrastructure build-out overshoots demand, just as the fiber-optic build-out eventually did. But that reckoning, if it comes, is a 2028 problem, not a 2026 one. For now, the sector that drives the global equity market is delivering results that justify its weight in the index. The dot-com parallel is worth studying. It is not yet worth trading on.

Beyond the US: A two-speed economy

If this global macro outlook seems US-heavy, it is for good reason. The eurozone economy contracted in the first quarter of this year, and the path ahead offers little reason to expect material acceleration. Germany has stabilized but is not growing meaningfully. France is stagnating. Spain remains a relative bright spot, but is not large enough to move the aggregate needle. The ECB's projections, revised downward in June, now put full-year growth at just 0.8%, and even that modest figure depends on energy costs not worsening. This is an economy with no AI-driven earnings kicker and no fiscal impulse comparable with the US. The Euro Stoxx 600 has lagged the US rally accordingly. Europe is not breaking, but it is not going anywhere, either.

China's headline numbers, meanwhile, mask persistent structural weakness. First-quarter GDP growth was 5% y/y, comfortably at the top of Beijing's target range and above consensus. But the composition tells a less reassuring story. Retail sales grew just 2.4% in the quarter, a rate that, even accounting for base effects, points to a consumer that is cautious at best and retrenching at worst. By April, the picture had deteriorated further, with retail sales hitting a 40-month low. Auto sales fell 9% in the first quarter, a drag that no amount of government subsidy has yet managed to reverse. The labor market, while not in crisis, is generating neither the job creation nor the wage growth required to shift household sentiment.

The property sector, five years into its correction, remains the economy's open wound. Residential sales by area fell 13% y/y in the first quarter; by value, the decline was closer to 19%. Second-hand property prices in Beijing are down over 8% on the year. We do not expect the sector to stabilize this year, and excess inventory in lower-tier cities may take even longer to clear. Layered on top of this is the deflation problem that Beijing has been unable to resolve. Consumer price inflation averaged 0.9% in the first quarter, well below the government's 2% target and uncomfortably close to the zero bound that has characterized much of the past few years. China has genuine technology successes to point to, and its export machine remains formidable. But until the property overhang is cleared and household confidence recovers, domestic demand will remain the missing piece.

India remains the world's fastest-growing major economy, even if it has slowed from last year's torrid pace. The Middle East crisis has hit Indian assets; the INR spent much of the year in free-fall, and the Sensex is having a terrible year. Recently, the RBI has put in place measures (including a high yield, revenue-raising product for the Indian diaspora) that have stemmed the bleeding in the rupee. But capital flight has still not stopped, and India (like Europe) is missing in action from the AI infrastructure cycle. The country remains the world's fastest-growing major economy, but cannot by itself offset the weakness in Asia's largest one.

In general, once we back away from the individual country narratives, it seems apparent that the global economy in the second half is a barbell. On one side, the US, powered by an extraordinary earnings cycle, a firming labor market, and the largest infrastructure build-out since electrification, supported by dynamic East Asian exporters feeding into that supply chain. On the other, Europe, grinding sideways under the weight of slow growth and unwelcome rate hikes, and China, producing GDP that flatters the headline while the consumer, the property market, and the price level all point to an economy still searching for a floor. This bifurcation is not new, but it is deepening. And for asset allocators, it continues to argue for US and East Asian exposure over European and Chinese risk – not because disaster looms in the latter, but because there is simply nothing there to get excited about.

Central banks: Monetary policy will be a sideshow in H2

The monetary authorities overseeing these diverging economies do share one common trait: none of them is likely to matter very much this year. The Federal Reserve held the fed funds rate at 3.50-3.75% percent in June and removed the easing bias from its statement. But the median dot for 2026 went up 40bp, from 3.4% to 3.8% – a surprise to us and the markets. Chair Warsh chose not to enter his dot. The new Chairman now faces the uncomfortable task of keeping rates steady even as much of the committee wants to hike, against the backdrop of a president who has repeatedly called for *lower* rates. The risks of a hike this year have clearly risen. But we think it would take a sharp drop in the jobless rate and/or a large rise in market expectations of medium-term inflation (such as 5y5y breakevens) for the Fed actually to pull the trigger. Neither, in our view, is likely. We expect a long period of the central bank on hold, including through all of 2027.

Across the Pacific, the Bank of Japan hiked to 1% last week, its highest policy rate since 1995. We think it will raise rates again in October and eventually end up with a 1.5% terminal rate. This is a historic normalization by Japanese standards, even if it is glacial by anyone else's. The ECB, having already tightened into an economy that contracted last quarter, will likely deliver one further hike before retreating to the sidelines, unwilling to squeeze much harder against the backdrop of a weak growth outlook.

The most interesting central bank, somewhat unexpectedly, is perhaps the Bank of England. Markets are pricing at least one hike this year and have flirted with three in recent months. The BoE kept Bank Rate unchanged last week, though two members dissented in favor of a hike. But

Governor Bailey, for one, seems to favor waiting out the near-term spike in inflation. Overall, we think the MPC will emphasize second-round effects and talk down the near-term inflation spike, while highlighting the role that tighter financial conditions and a looser labor market play in offsetting price pressures.

None of this, incidentally, changes the broader picture. Central banks are *not* going to be the main actors in global macro for the rest of 2026. The earnings cycle, the AI build-out, oil prices, and the bond market will do far more to determine asset prices than anything decided in Washington, Frankfurt, Tokyo, or London. Monetary policy is a sideshow this quarter; investors would do well to treat it as one.

Oil and Iran: Prices are not going back to pre-war levels

As we write, a deal between the US and Iran has been signed, even if the details are up for debate. We have been surprised by how much oil has dropped in recent weeks, with prices at $75-80 a barrel at the time of writing. But we do not expect it to fall further, and a return to pre-war levels is unlikely. Global inventories have been drawn down by at least 400mb, by our estimates. And even if nations take their time refilling their Strategic Petroleum Reserves, commercial oil inventories in the US are below the lows of summer 2022. In addition, US SPR releases are a loan this time, unlike in 2022.

We think oil bears (from current levels) are over-optimistic about how quickly supply can bounce back, as well as how much spare capacity is left. As Hormuz shut down, Gulf producers capped wells; the outages (oil not pumped) ran at several mb/d for many weeks. That oil is never coming back. And then there are the new headaches as the Strait opens. Reopening a shipping lane of that scale is not a diplomatic event, it is a logistical and commercial process. Mines need to be cleared. Vessel insurance needs to be repriced and reissued. Shipowners and crews need to be willing to transit a waterway that was an active conflict zone weeks earlier. We estimate a minimum of a few months to re-establish steady export operations even under the most optimistic scenario, and full normalization of Middle Eastern oil supply may not materialize until 2027.

The implication for the macro outlook is straightforward: oil stays elevated for a while. It's not the end of the world; after all, the global economy lived through a period of much higher oil prices in Q2 and managed just fine. There will be no collapse in oil prices from current levels, in our view. The US-Iran conflict may be moving toward resolution. But the oil consequences of the US-Iran conflict will linger for a while.

In summary

The global economy entering the third quarter of 2026 is not one that demands a defensive posture, but neither is it one that rewards complacency. The US profit cycle – broadening, accelerating, and underpinned by the most ambitious infrastructure investment program in decades – remains the dominant force in global markets and the strongest argument for staying invested. The labor market is cooperating. The US consumer, despite some straws in the wind, is more resilient than the bears contend. And the semiconductor supply chain and the AI build-out continue to deliver earnings that justify tech's extraordinary weight in global indices.

Against that, the list of things that could go wrong is real: oil prices that stay elevated even after a deal with Iran, central banks that have no room to ease, a bond market repricing under the weight of record issuance and deteriorating fiscal fundamentals, and equity valuations that have already absorbed much of the good news. We do not think these risks overwhelm the cycle in the next quarter. But they narrow the path and demand that investors be more selective and more disciplined than they needed to be three months ago. Stay long the cycle. Stay short complacency.

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